

figure she's searching the neighborhood for a good price on a room, and they're right. So they offer their best deal right up front. Vicki rarely has to haggle. On the other hand, if we both show up laden with luggage, the clerks figure we're desperate for a room. They'll quote a higher price or try to put us in a suite.

LESS IS MORE

Perhaps more than anything else, retiring on \$50 a day requires a new state of mind. Simplify your life by having only the things you need or want. Consume less to enjoy life more. Living with this new state of mind works because of what economists call the Law of Diminishing Marginal Utility. I call it the Coin Toss Law.

I offer to toss a fair coin. If it comes up tails, I pay you a dollar. If it comes up heads, you pay me a dollar. Sure, you say. Why not? We play a couple of times. Then I ask if you want to play for \$10. Of course. We continue to play. Then I offer to play for, say, \$500,000, your entire net worth. You laugh. It's ridiculous. Yet, the game hasn't changed at all. The coin is still fair and the odds are the same. What's happened?

What's happened is that you've moved down your "utility" curve. Lose the \$500,000 coin toss and you're wiped out. You're without a house, car, furniture, savings, everything. If you're retired, you'll have to go back to work. If you have one job, you'll have to work at two. You're in worse shape than a chow mein joint without a reliable noodle supply. You'll probably have a nervous breakdown. It's a disaster.

Winning half a million dollars, on the other hand, wouldn't do that much for you. You could buy a shiny car and a house a couple of blocks farther up the hill. You could stick the kids into a more expensive private school. You'd like to have an extra half-million dollars. But your day-to-day life would